ALLEGATION: Mauritius-based entities like APMS Investment Fund, Cresta Fund, LTS Investment Fund, Elara India Opportunities Fund and Opal Investments collectively and almost exclusively hold shares in Adani listed companies, totalling almost $8 billion (Rs 66,139 crore). The original source of funds for their investments in Adani companies is unclear.
RESPONSE: Each of the entities referenced in the queries above are public shareholders in listed companies in the Adani portfolio. A listed entity neither has control over who buys/sells/owns the publicly traded shares or how much volume is traded or the source of funds for such public shareholders nor is it required to have such information for its public shareholders under Indian laws.

ALLEGATION: In 2019, Adani Green Energy Ltd (AGEL) completed two offers for sale (OFS) that were critical for ensuring its public shareholders were above the 25 per cent listing threshold requirement. Portions of these OFS deals were sold to offshore entities, including ones in Mauritius and Cyprus.
RESPONSE: Under Indian laws, all listed entities are required to have a public shareholding of a minimum of 25 per cent. Since the shares of AGEL got listed after the demerger from AEL in June 2018, AGEL was required to comply with the requirements of regulation 38 [pertaining to minimum shareholding] within 12 months from the date of listing thereof. The process for OFS is a regulated one implemented through an automated order book matching process on the platform of the stock exchange.

ALLEGATION: A secretive Mauritius entity called Growmore Trade and Investment netted an overnight $423 million (Rs 3,497 crore) gain through a stock merger with Adani Power. According to court records, Growmore is controlled by Chang Chung-Ling, an individual who shared a residential address with Vinod Adani and had been named in DRI fraud allegations as director of a key intermediary entity used to siphon funds out of Adani Enterprises.
RESPONSE: The stock merger referred to in the allegation was undertaken after following due process as per the Companies Act and all applicable regulations, including SEBI's. The valuation for the stock merger was supported by reputed, independent third-party valuers—Ernst & Young provided the valuation report supported by a fairness opinion from ICICI Securities. ■

ment companies believe its stocks were heavily overvalued," says the CEO of a large mutual fund.

Meanwhile, the RBI in a statement said, as per its current assessment, the banking sector remained resilient and stable and it is constantly monitoring the sector. Without mentioning the Adani Group, it added, "Various parameters relating to capital adequacy, asset quality, liquidity provision, coverage and profitability are healthy." Union finance minister Nirmala Sitharaman also stated: "Our macroeconomic fundamentals, the image of our economy, none of it has been affected. The fact that we have had $8 billion of foreign exchange reserve growth shows that perception of India and its inherent strength is intact." She also said regulators such as Sebi will do their job on the issue, but didn't elaborate further.

WHY SEBI NEEDS TO STEP UP TO THE PLATE

Most experts believe Sebi should move fast with its investigation and share its findings as early as possible. M. Damodaran, former Sebi chairman, said that red flags should have been raised when the stock prices ballooned. While the regulator often acts on complaints, and there is a time lag in its actions, independent directors should have raised caution. The Hindenburg report raises several major issues that the RBI, Sebi and other regulatory agencies need to examine.

A FINANCE MINISTRY OFFICIAL SAYS ADANI IS NO FLY-BY-NIGHT OPERATOR BUT A COMPANY WITH SOLID VALUABLE ASSETS. SO, IT CANNOT ENTIRELY COLLAPSE

A key Hindenburg allegation is that Adani companies have taken on substantial debt, putting the group on a precarious financial footing. Sources close to the group put its overall debt at Rs 2.4 lakh crore. After discounting cash reserves of Rs 30,000 crore, that figure can be trimmed to around Rs 2.1 lakh crore. The group claims it has gross fixed assets worth Rs 3.7 lakh crore and that the assets generate a cash Ebitda (earnings before interest, taxes, depreciation and amortisation) of close to Rs 60,000 crore annually. That translates into a net debt-to-Ebitda ratio (a barometer of a company's financial health) of 3.2x, which is said to be the industry standard. Infrastructure businesses are often structured on 70 per cent debt and 30 per cent equity, but the source says Adani has 55 per cent debt and 45 per cent equity, which makes it less vulnerable.